

3.2.1 The Measurement of Macroeconomic Performance

Macroeconomic Indicators

Candidates should be familiar with the data which is commonly used to measure the performance of an economy, e.g. GDP, GDP per capita, Consumer Price and Retail Price Indices (CPI/RPI), unemployment, and the balance of payments on current account. They should have an understanding of the use of index numbers. They should be able to make comparisons with other economies from data presented to them.

The Economic Cycle

Candidates should understand the concept of the economic cycle and be able to use a range of economic indicators, such as GDP, the rate of inflation, unemployment and investment, to identify the various phases of the economic cycle. They should be able to distinguish between demand-side and supply-side shocks.

An understanding of potentially inflationary, positive, and potentially deflationary, negative, output gaps is also expected in the context of the economic cycle.

Candidates should understand that positive output gaps occur when actual GDP is above the productive potential of the economy, and negative output gaps occur when actual GDP is below the economy's productive potential.